The Memo

DAILY INTELLIGENCE BRIEF

MONDAY, MARCH 23, 2026

NO. 0018

Executive Summary

[Hormuz crisis] Trump's 48-hour ultimatum expires Monday night. Iran threatens indefinite Strait closure and strikes on US/Israeli energy assets. See Credit, Rates & Currencies.

[Bond yields] 10-year Treasury at 4.415%. UK gilt highest since 2008. Markets price 75bp ECB hikes, 85bp BoE hikes. See Credit, Rates & Currencies.

[Sudan] Drone strike on Al Daein Hospital kills 64 — including 13 children — during Eid. See Conflict Monitor.

[Oil shock] Goldman calls Hormuz 'largest-ever supply shock.' Brent $113.20. IEA: 40+ energy assets severely damaged across nine countries. See Economic & Business.

[AI investment] Bezos in early talks to raise $100B fund to buy manufacturers and deploy AI automation. See Venture & Exits.

[Gold selloff] Gold drops 14% in one month to $4,570/oz. Largest weekly decline since 1983. See Credit, Rates & Currencies.

[Activist PE] Elliott builds multibillion-dollar Synopsys stake. Plans operational push at the chip-design giant. See AI & Technology.

[China-Iran oil] Chinese state refiners explore Iranian crude after Washington issues 30-day waiver for stranded cargoes. See Economic & Business.

[Denmark election] PM Frederiksen rides Greenland confrontation with Trump into polls this week. Third-term prospects rising. See World Affairs.

[AI compute] OpenAI scales back compute ambitions from $1.4T to ~$600B by 2030 ahead of potential IPO. See Venture & Exits.

Credit, Rates & Currencies

NEW **[Goldman Sachs Raises Oil Forecasts — Calls Hormuz 'Largest-Ever Supply Shock']** Brent rose to $113.20, up 0.9%. WTI touched $98.85. IEA reports 40+ Middle East energy assets severely damaged. Goldman raised 2026 forecasts citing prolonged Strait disruption. Structurally higher crude now consensus through 2027. Portfolio companies with unhedged fuel exposure need immediate attention across airlines, chemicals, and logistics.

NEW **[Global Bond Yields Hit Highest Since May 2024 — Hike Bets Surge]** 10-year Treasury touched 4.415%. UK gilt at highest since 2008. Markets price 75bp ECB hikes, 85bp BoE hikes. Fed cuts fully priced out for 2026. LBOs underwritten at lower rates face refinancing stress. Front-end duration toxic until energy supply normalizes. Expect curve steepening over 2-4 weeks.

NEW **[Gold on Track for Largest Weekly Drop Since 1983 — Down 14% in a Month]** Fell 2% Friday to $4,570/oz. Rising yields, stronger dollar, and forced liquidation drove the selloff. Bloomberg reports gold close to wiping out 2026 gains. Gold's failure as a war hedge is this cycle's surprise. Margin calls and yield competition overwhelm safe-haven flows. Stabilization unlikely until bond volatility subsides.

NEW **[EM Local-Currency Bonds Lose 4.5% Since Iran War — Double Dollar Peers]** Only 6 of 22 main EM currencies up against the dollar this year. Before the conflict, 17 were. Thailand saw $1B in bond outflows this month — largest since 2022. Consensus EM long unwinding fast. Oil-importing EMs face twin deficits. Expect spreads to widen until Hormuz reopens.

Sources: Bloomberg; Reuters; Bloomberg; Mining.com.au; Bloomberg; Bloomberg; Bloomberg

Global Conflict Monitor

MIDDLE EAST

[Israel-Iran War / Strait of Hormuz Crisis] ▲ **Escalating**
Parties: United States, Israel vs. Iran; Hezbollah (Lebanon front)
Region: Middle East
Latest Development: Trump threatened to "obliterate" Iran's power plants if Hormuz stays shut. Iran vowed retaliatory strikes and indefinite closure. Strait effectively shut since late February. Iranian missiles struck Dimona and Arad. IEA reports 40+ energy assets severely damaged across nine countries. Israel expanded its Lebanon offensive, destroying Litani bridges. Brent ~$112, WTI ~$98.
Risk Assessment: Trump's deadline expires early Tuesday GMT. Analysts expect Brent $120-130 within 1-2 weeks if escalation continues. Dual-front campaigns raise prolonged regional-war risk with cascading effects on shipping insurance, LNG contracts, and desalination-dependent Gulf economies.

[Israel-Lebanon / Hezbollah Front] ▲ **Escalating**
Parties: Israel vs. Hezbollah; Lebanese government
Region: Middle East
Latest Development: IDF destroyed Qasimiyah Bridge near Tyre and other Litani crossings. Chief of Staff approved deeper offensive — campaign "has only begun." Lebanon's president warned strikes are a "prelude to ground incursion." Buffer zones expanding.
Risk Assessment: Cutting Litani crossings signals ground-incursion preparation within days. European exposure through refugee flows, energy transit disruption, and retaliation threats.

[Gaza Conflict] ▬ **Ongoing**
Parties: Israel vs. Hamas
Region: Middle East
Latest Development: Israeli air strikes killed four Palestinians on March 22. 680 killed since October ceasefire. Hamas retains "full operational control" in central Gaza per Israeli brigade commander.
Risk Assessment: Gaza now a secondary theatre as Israeli focus pivots to Iran and Hezbollah. Hamas's retained control suggests re-emergence once broader conflict subsides.

EUROPE

[Ukraine-Russia War] ▲ **Escalating**
Parties: Ukraine vs. Russia
Region: Europe
Latest Development: Russia launched fresh offensives along multiple fronts. Artillery and tactical aviation use doubled in Kramatorsk direction. Six killed across four south-eastern regions in 24 hours. Zelensky reported 2,812 Russian aerial strikes.
Risk Assessment: Multi-front regrouping signals intensified spring offensive over 2-4 weeks. Iran conflict stretches allied bandwidth. European defence stocks and Ukrainian sovereign bonds face heightened volatility.

AFRICA

[Sudan Civil War — Hospital Strike] ▲ **Escalating**
Parties: Sudanese Armed Forces vs. Rapid Support Forces (RSF)

Region: Africa

Latest Development: Drone strike on Al Daein Teaching Hospital killed 64 during Eid — including 13 children, two nurses, one doctor. WHO confirmed 89 injured. Hospital nonfunctional. Over 150,000 dead in the conflict. ~12 million displaced.

Risk Assessment: East Darfur is a strategic corridor linking RSF-held western Darfur to army-held Khartoum. No ceasefire pathway visible. Gold and oil assets in contested zones face continued disruption.

ASIA

[Afghanistan-Pakistan Border Conflict] ▲ **Escalating**

Parties: Pakistan vs. Afghan Taliban government

Region: Asia

Latest Development: Mass-casualty incident near Kabul on March 16 marked a dangerous turn. Crisis Group urges friendly countries to bring sides back to negotiations.

Risk Assessment: Pakistan's fragile economy faces further strain. Any disruption to Pakistan's energy imports amid Hormuz crisis compounds risk over 4-8 weeks.

Sources: Washington Post; Bloomberg; Al Jazeera; Al Jazeera; BBC; CNN; BBC; The Economist; BBC; Los Angeles Times; Crisis Group; Al Jazeera; Ynetnews

World Affairs

NEW **[IEA Chief — 'Two Oil Crises and One Gas Crash Put Together']** Fatih Birol called the Hormuz disruption a "major, major threat." 40+ energy assets across nine countries severely damaged. Compared to 1970s shocks and Russia's 2022 invasion combined. IEA framing signals coordinated emergency measures beyond SPR releases. Energy-importing EMs face sharpest near-term GDP revisions over 4-6 weeks.

NEW **[Danish PM Frederiksen Rides Greenland Row Into Election Resurgence]** Confrontation with Trump over Greenland recast her as a sovereignty defender. Denmark votes this week. Third-term prospects rising. A win consolidates the Nordic stance on Arctic sovereignty for four more years. European electorates rewarding leaders who push back against Trump.

Mette Frederiksen by Christian Ursilva (2026) — Christian Ursilva — CC BY-SA 4.0, via Wikimedia Commons

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Sources: Al-Monitor; Bloomberg; FT

Art & Alternative Assets

NEW **[Luxury Jewelry Resale Surges as Gold Hits Record Highs]** Affluent buyers shifting into fine jewelry as an inflation hedge. Handbag resale premiums declined from pandemic highs. Colored gemstones drawing particular interest. Expect auction houses to reprice colored-stone inventory upward through Q2. Liquidity risk remains: jewelry harder to price and slower to sell than gold.

NEW **[TEFAF Maastricht Draws 50,000 Visitors — Reports Strong Sales]** Fair closed March 19 with robust sales across categories. Turnout signals top-tier collector confidence persists despite macro volatility. Old Masters and decorative arts remain insulated from speculative cycles hitting contemporary segments. Watch whether momentum carries into Hong Kong art week.

Maastrichts Expositie en Congres centrum — Heavyuser — CC BY-SA 3.0, via Wikimedia Commons

NEW **[Art Basel Hong Kong Opens This Week — 240 Exhibitors, Two New Sectors]** "Echoes" (recent works) and "Zero 10" (digital art) debut. VIP days begin March 25. Art Central runs alongside with 100+ galleries. Key Asian market barometer. Dealer sentiment will reveal whether Asia-Pacific collectors are absorbing geopolitical risk or pulling back.

DAY 2 **[Christie's Van Gogh Heads to Hong Kong — Sale Set for March 27]** *Previously: Christie's consigned an early Van Gogh forest landscape to its March 27 Hong Kong sale, citing Asian client demand.* Art Basel HK's VIP opening March 25 creates peak foot traffic for the auction. Previously: Christie's consigned an early Van Gogh forest landscape to its March 27 Hong Kong sale, citing Asian client demand. Tests whether Asian UHNW buyers maintain appetite for Western Impressionist works amid volatile macro backdrop.

Sources: CNBC; CNBC; Forbes; South China Morning Post

Design, UX & Industrial

NEW **[Snøhetta Builds Stepped Timber Amphitheatre Inside Taiwan Finance Office]** Multipurpose tiered-seating forum forms the centrepiece. Good Finance awarded the project after an invited competition. The Taichung scheme treats workplace as civic space. Signals growing Asian corporate appetite for design-led workplaces. Expect mid-market fitout firms to copy the amphitheatre motif within 12 months.

Sources: Dezeen

AI & Technology

NEW **[Elliott Takes Multibillion-Dollar Stake in Synopsys — Plans Operational Push]** Activist investor targets the chip-design software maker. Elliott plans operational changes at the EDA giant. Synopsys is one of two dominant EDA players. Elliott involvement typically precedes board changes within 6-12 months. Chip-design software is critical AI infrastructure.

675 Almanor Avenue — Coolcaesar — CC BY 4.0, via Wikimedia Commons

NEW **[Musk Announces Terafab Chip Plant in Austin — Tesla and SpaceX Joint Venture]** Targets chips for robotics, AI, and space data centers. Tesla and SpaceX will jointly operate. Musk has no semiconductor production background. Chip fab requires $10B+ and 3-5 years minimum. Near-term supply impact: zero. Signals intent to vertically integrate xAI/Tesla compute long-term.

NEW **[FT — Iran War Threatens AI Boom via Chip Supply Chain's Middle East Dependencies]** Semiconductor supply chain depends on Middle East energy and chemical imports. Prolonged Hormuz disruption could constrain chip manufacturing inputs. Neon gas, specialty chemicals, and energy costs feed directly into fab economics. Expect semiconductor capex guidance revisions if Hormuz conflict extends past Q2.

Sources: Bloomberg; Bloomberg; The Verge; FT

Economic & Business Intelligence

NEW **[LVMH to Kering Defy Slowdown — Open More Stores Across Europe]** Owners of Gucci, Fendi, and Bulgari expanded European retail in 2025 despite sector weakness. Signals confidence in European consumer resilience and tourism recovery. European luxury landlords benefit near-term. Energy-driven cost inflation and weakening Asian tourist spend could test the thesis within 2-3 quarters.

NEW **[China's State Refiners Explore Iranian Crude Purchases After US Waiver]** Washington allowed sales of stranded tanker cargoes to limit price rises. Goldman says China better insulated from the energy shock than peers. Opportunistic buying could cap Asian crude benchmarks near-term. Complicates US leverage over Iran and may strain tariff truce with Beijing.

NEW **[IEA — Over 40 Middle East Energy Assets 'Severely Damaged' Across Nine Countries]** IEA's Birol confirmed 40+ facilities sustained severe damage. Global LNG exports fell to a six-month low. Reconstruction timelines suggest supply disruption persists well beyond any ceasefire. European gas storage refilling becomes a bidding war over multiple quarters.

Strait of Hormuz and Musandam Peninsula (MODIS 2018-12-10) — MODIS Land Rapid Response Team, NASA GSFC — Public domain, via Wikimedia Commons

NEW **[Wall Street Banks Push Back China Rate Cut Calls, Raise Inflation Forecasts]** Major US banks raised 2026 China inflation projections. Rate cut expectations pushed out as surging oil changes PBOC calculus. PBOC easing delay removes a key support pillar for Chinese equities. EM allocators positioning for China stimulus need to recalibrate by at least one quarter.

Sources: Bloomberg; Bloomberg; Bloomberg; Bloomberg; Bloomberg; Bloomberg

Private Equity

NEW **[Aware Super Appoints Satchcroft to Lead A$235B Pension's Private Equity]** Alex Satchcroft named head of PE under CIO Simon Warner's broader reshuffle. Australian super funds consolidating toward A$5.7T by 2030. Senior PE hires signal larger direct and co-investment mandates. GPs seeking Australian LP capital should note.

NEW **[Bank Losses on Private Credit Loans Making Equity Investors 'Antsy']** Banks lending to fund managers — not directly to companies — are seeing losses come back. The firebreak model is showing cracks. European banks with large fund-finance books face most scrutiny. Expect tighter credit terms to private credit managers over two quarters.

NEW **[Iran War Leaves US Oil & Gas Dealmaking 'in Paralysis']** Surging prices make valuations nearly impossible. Buyers and sellers cannot agree on baseline assumptions. Pipeline frozen. Energy-sector PE exits and acquisitions stalled until volatility subsides. Sponsors holding upstream and midstream assets face extended hold periods through Q2.

Sources: Bloomberg; Bloomberg; FT

Venture & Exits

NEW **[Jeff Bezos in Talks to Raise $100B for AI Manufacturing Fund]** Fund would acquire manufacturers and deploy AI to accelerate automation. Early-stage discussions. No confirmed investors or timeline. Would be the largest single AI-focused fund ever. Signals conviction that AI value shifts from software to physical automation. Industrial PE managers face a new mega-competitor.

NEW **[Private Capital Pivots From Software to Heavy Assets on AI Boom]** PE firms swapping software bets for infrastructure plays. SaaS multiples compressed. Demand for physical compute and energy assets surging. Structural shift. LPs in software-heavy funds face mark-to-market headwinds over 2-3 quarters. Hard-asset GPs better positioned for 2026 vintages.

NEW **[Korean AI Startup Upstage in Talks With AMD for 10,000 Chip Purchase]** Upstage negotiating with investor AMD for 10,000 AI accelerators. Goal: sovereign-scale compute in South Korea. CEO confirmed meeting AMD chief Lisa Su in Seoul. Signals AMD's deepening investor-to-customer pipeline in Asia. Watch for similar deals in Japan and Southeast Asia as Nvidia supply stays constrained.

NEW **[South Korea Defense Startups Surge as Global Conflicts Flare]** Startups making experimental weapons emerging from Korea's traditionally closed defense ecosystem. Global conflict uptick cited as catalyst. Korea's $17.5B defense export pipeline and Iran war provide sustained demand tailwinds through 2027+.

NEW **[European Venture — AI Health Startups Lead a Quieter Week]** Parallel (Paris) raised $20M Series A from Index Ventures for AI hospital billing. Rivia (Zurich) closed €13M for AI clinical trials. European VC concentrating in vertical AI. Healthcare AI offers fast payback and regulatory moats. Index Ventures' lead signals conviction in France's AI health corridor.

Sources: WSJ; Bloomberg; Bloomberg; Bloomberg; The Next Web

Real Estate & Property

NEW **[JLL — Global Hotel Investment Volumes Rose 22% in 2025 as Mixed-Use Models Gain]** Hotel valuations increasingly reflect non-room revenue. JLL cites stronger debt markets and slowing supply growth. Dual-brand and mixed-use projects driving refinancing. Hybrid hospitality assets with diversified income command premium cap rates. Expect more dual-brand conversions in gateway cities through 2027.

DAY 3 **[Iran War — Week Four Escalation Raises CRE Risk Profile]** *Previously: Global real estate leaders at MIPIM said conflict had not yet disrupted deal flow. Diesel past $5 was the key watch item.* The 'distant impact' thesis is eroding. Goldman's 'largest-ever supply shock' call and Trump's ultimatum create a double headwind. Commercial Observer notes 'a lot of nervous people watching and waiting.' Previously: Global real estate leaders at MIPIM signaled conflict had not yet disrupted deal flow. Diesel past $5 and the oil shock remained key watch items. Construction costs, logistics, and financing rates all moving adversely. Deals with unhedged floating-rate debt face stress within 4-8 weeks.

Sources: Hotel News Resource; Commercial Observer; Bloomberg

Operational Calendar

ON THE HORIZON

Opens May 9 — Venice Biennale 2026 — 'In Minor Keys'
Originally curated by Koyo Kouoh. Israeli pavilion features Belu-Simion Fainaru. Russia returns to its usual pavilion.

Sources: The Jerusalem Post

CONTEMPORARY ART SPOTLIGHT

Calvin Tomkins (1925–2026) — The New Yorker's Eye on Contemporary Art

For over six decades, Calvin Tomkins chronicled the contemporary art world. His New Yorker profiles turned artists, dealers, and curators into vivid characters — shaping how America understood the avant-garde from Duchamp to the present.

Susan Cheever - 5736916517 — kellywritershouse — CC BY 2.0, via Wikimedia Commons

BORN 1925 · DIED MARCH 20, 2026, AGE 100 · 60+ YEARS AT THE NEW YORKER · PROFILED DUCHAMP, RAUSCHENBERG, AND GENERATIONS OF ARTISTS

[Why it matters] Tomkins was a portraitist of the art world itself. His profiles gave collectors a narrative frame for understanding contemporary art's most consequential figures. His long-form attention crystallized cultural legitimacy in ways no auction result could match.

[Current peg] Tomkins died March 20 at his home in Middletown, Rhode Island, at one hundred.

[Historical context] Tomkins's New Yorker association lasted over sixty years. Known for writing on Marcel Duchamp. His work set the template for long-form arts journalism in America.

[One thing to know] Tomkins proved that serious writing about living artists could shape cultural reputation as powerfully as any museum retrospective or auction record.

Sources: Artforum

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